GALIFORM HOLDINGS LTD
DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 27 DECEMBER 2008

REGISTERED NUMBER: 3320875

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GALIFORM HOLDINGS LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 52 weeks ended 27 December 2008 (2007: 52 weeks ended 29 December 2007).

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

The company is a wholly owned subsidiary of Galiform Plc, and operates as part of the Galiform Plc's Corporate division. The company's principal activities are as an intermediate holding company. The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next year.

As shown in the company's profit and loss account, the loss for the financial period amounted to £2,522,000 (2007: profit £4,000). The directors recommend that no dividend be paid (2007: nil). The directors are satisfied with the progress of the business.

The balance sheet shows that the Company's financial position at the end of the year is, in both net assets and cash terms, consistent with prior years. Details of amounts owed to the parent company are shown in note 6.

The Galiform Plc group manages its operations on a divisional basis. For this reason, the Company's directors believe that further key performance indicators specific to the Company are not necessary or appropriate for an understanding of the development, performance or position of the business. The performance of the Galiform Plc group, which includes this Company, is discussed in the Group's Annual Report which does not form part of this report.

The Company, as part of the Group, recognises the importance of its environmental responsibilities, monitors its impact on the environment, and designs and implements policies to reduce any damage that might be caused by the group's activities. The Company operates in accordance with Group policies, which are described in the Group's Annual Report, which does not form part of this Report.

PRINCIPAL RISKS AND UNCERTAINTIES

The Company is financed by a loan from its ultimate parent and has no third party debt. It therefore has no interest rate exposure. The Company has no other significant risks and uncertainties, other than those risks that it shares with the Galiform Plc Group, given that the Company's principal activities are holding investments in other Galiform Plc Group companies. The Group's risks are discussed in the Group's Annual Report, which does not form part of this Report.

GOING CONCERN

After making enquiries and taking into consideration the profitability and financial position of the company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the company has adequate resources to continue in operational existence for the foreseeable future based on a written commitment of financial support from its ultimate parent company, Galiform plc, which is legally binding. For this reason the directors continue to adopt the going concern basis in preparing the financial statements.

EMPLOYEES

The Company has no employees.

DIRECTORS

The directors of the Company who served throughout the period, except as noted, were:

IPH Arnold
G Hughes (resigned 27 December 2008)
M Ingle
M Robson

No director held any beneficial interest in the shares of the Company at any time during the period.

DIRECTORS' INDEMNITIES

The Group has made qualifying third party indemnity provisions for the benefit of its directors which were made during the year and remain in force at the date of this report.

POLITICAL AND CHARITABLE CONTRIBUTIONS

The Company did not make any charitable or political donations during the period (*2007: nil*).

AUDITORS

Each of the persons who is a director at the date of approval of this annual report confirms that:

- so far as the directors are aware, there is no relevant audit information of which the company's auditors are unaware;
- the directors have taken all the steps they ought to have taken as directors in order to make themselves aware of any relevant audit information and to establish that the company's auditors are aware of that information.

The confirmation is given and should be interpreted in accordance with the provisions of s234ZA of the Companies Act 1985.

On 1 December 2008 Deloitte & Touche LLP changed its name to Deloitte LLP. Pursuant to a shareholders' resolution, the Company is not obliged to reappoint its auditors annually and Deloitte LLP will therefore continue in this office.

REGISTERED OFFICE

The company's registered office is International House, 1st Floor, 66 Chiltern Street, London, W1U 4JT.

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). The financial statements are required by law to give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 1985. They are also responsible for the system of internal control, safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

By Order of the Board

C Bishop, Secretary. 27 April 2009

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF GALIFORM HOLDINGS LIMITED

We have audited the financial statements of Galiform Holdings Limited for the 52 week period ended 27 December 2008 which comprise the Profit and Loss Account, the Balance Sheet, and the related notes 1 to 10. These financial statements have been prepared under the accounting policies set out therein.

This report is made solely to the company's members, as a body, in accordance with section 235 of the Companies Act 1985. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditors

The directors' responsibilities for preparing the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice) are set out in the Statement of Directors' Responsibilities.

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements and International Standards on Auditing (UK and Ireland).

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985. We also report to you whether in our opinion the information given in the Directors' Report is consistent with the financial statements.

In addition we report to you if, in our opinion, the company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and other transactions is not disclosed.

We read the Directors' Report and consider the implications for our report if we become aware of any apparent misstatements within it.

Basis of audit opinion

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements. It also includes an assessment of the significant estimates and judgments made by the directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the company's circumstances, consistently applied and adequately disclosed.

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error. In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements.

Opinion

In our opinion:

- the financial statements give a true and fair view, in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of the company's affairs as at 27 December 2008 and of its loss for the 52 week period then ended;
- the financial statements have been properly prepared in accordance with the Companies Act 1985; and
- the information given in the Directors' Report is consistent with the financial statements.

Deloitte LLP

Deloitte LLP
Chartered Accountants and Registered Auditors
London
United Kingdom
27 April 2009

GALIFORM HOLDINGS LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 27 DECEMBER 2008

	Notes	**52 weeks to 27 Dec 2008 £000**	52 weeks to 29 Dec 2007 £000
Miscellaneous income		-	6
Write off of inter company balances		**(2,719)**	-
Operating (loss) / profit		**(2,719)**	6
Dividends received		**192**	-
(Loss) / profit on ordinary activities before tax		**(2,527)**	6
Tax on loss on ordinary activities	3	**5**	(2)
(Loss) / profit for the financial period		**(2,522)**	4

The results for the 52 week period ended 27 December 2008 and the prior period are derived from continuing operations.

There are no recognised gains or losses in the current or preceding financial periods other than as stated in the profit and loss account and therefore no statement of recognised gains and losses has been presented.

GALIFORM HOLDINGS LIMITED
BALANCE SHEET AT 27 DECEMBER 2008

	Notes	27 Dec 2008 £000	27 Dec 2008 £000	29 Dec 2007 £000	29 Dec 2007 £000
Fixed assets					
Investments	4	**100,000**			100,000
Current assets					
Debtors	5	**36,328**		38,842	
Creditors: amounts falling due within one year	6	**(615,786)**		(615,778)	
Net current liabilities			**(579,458)**		(576,936)
Net liabilities			**(479,458)**		(476,936)
Capital and reserves					
Called up share capital	7		-		-
Profit and loss account	8		**(479,458)**		(476,936)
Shareholders' deficit			**(479,458)**		(476,936)

Approved by the Board of Directors on 27 April 2009 and signed by

Mark Robson
Director

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current and preceding periods.

BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom law and accounting standards.

The financial statements have been prepared on a going concern basis as discussed in the Director's report on page 1.

Under Financial Reporting Standard 1 'Cash flow statements', the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Galiform Plc.

The financial statements include the undertakings for the 52 week period ended 27 December 2008, being the Saturday nearest to the Company's accounting reference date of 30 December. The undertakings for the prior year relate to the 52 week period ended 29 December 2007, being the Saturday nearest to the Company's accounting reference date of 30 December.

The Company is exempt from the requirement to prepare Group financial statements under s228 of the Companies Act 1985 since its results are included in the consolidated financial statements of its ultimate holding company, Galiform Plc. The financial statements present information about the Company as an individual undertaking and not as a Group.

INVESTMENTS

Investments are stated at cost less any provision for impairment.

TAXATION

UK Corporation tax is provided at amounts expected to be paid/(or recovered) using tax rules and laws that have been enacted or substantially enacted by the balance sheet date.

2. REMUNERATION OF DIRECTORS, STAFF COSTS AND AUDITORS' REMUNERATION

No director received any emoluments for services to the Company during the period *(2007: £nil)*. The Company had no employees during the current or preceding period.

The auditors' remuneration for the period is £5,000 (2007: nil) for audit services. In both periods the auditors' remuneration was borne by a fellow subsidiary undertaking, Galiform Corporate Services Limited.

3. TAX ON PROFIT ON ORDINARY ACTIVITIES

	27 Dec 2008 £000	29 Dec 2007 £000
UK Corporation tax credit / (charge)	2	(2)
Adjustment for prior periods	3	-
Tax credit / (charge) on profit on ordinary activities	5	(2)

3. TAX ON PROFIT ON ORDINARY ACTIVITIES (cont'd)

Factors affecting current period corporation tax

	2008	2007
The taxation credit, as a percentage of profit on operating activities before taxation, is calculated at	**21%**	30%

The difference between the total current tax shown above and the amount calculated by applying the standard rate of UK Corporation tax to profit before tax is as follows:

	2008 £'000	2007 £'000
Loss / (profit) on ordinary activities before taxation for the period	**(2,527)**	6
Tax on profit on ordinary activities at the standard rate of corporation tax in the UK of 28.5% *(2007: 30%)*	**720**	(2)
Effects of:		
Intercompany debt written off	**(773)**	-
Non-taxable UK dividend income	**55**	
Adjustments relating to prior years	**3**	-
Current tax credit / (charge) for the period	**5**	(2)

The company also has carried forward capital losses and the potential deferred tax asset of £22.7m (2007: £22.7m) has not been booked. These capital losses may be carried forward indefinitely.

4. FIXED ASSET INVESTMENTS

	27 Dec 2008 £'000
Cost	
At 29 December 2007 and 27 December 2008	**552,306**
Provision for impairment	
At 29 December 2007 and 27 December 2008	**(452,306)**
Net Book Value	
At 29 December 2007 and 27 December 2008	**100,000**

Investments comprise shares in Group companies. The principal subsidiaries at 27 December 2008 are listed below. All subsidiaries are wholly owned and incorporated in Great Britain, and registered in England and Wales. In the opinion of the directors the total value of shares in these companies is not less than the amount at which they are included in the balance sheet.

Subsidiary	Principal activity
Galiform Corporate Services Limited	Management services
Howden Joinery Limited	Trade kitchen furniture and joinery
Group People Services Limited	Employment company

5. DEBTORS

Amounts falling due within one year:	27 Dec 2008 £000	29 Dec 2007 £000
Amounts owed by fellow subsidiary undertakings	**36,323**	38,842
Corporation tax	**5**	-
	36,328	38,842

6. CREDITORS

Amounts falling due within one year:	27 Dec 2008 £000	29 Dec 2007 £000
Amounts owed to parent undertaking	**582,802**	582,792
Amounts owed to fellow group subsidiary	**32,984**	32,964
Other creditors	**-**	22
	615,786	615,778

7. AUTHORISED AND ISSUED SHARE CAPITAL

	27 Dec 2008 £	29 Dec 2007 £
100 authorised ordinary shares of £1 each	**100**	100
2 allotted, called up, issued and fully paid ordinary shares of £1 each	**2**	2

8. RECONCILIATION OF MOVEMENTS IN SHAREHOLDERS' DEFICIT

	£'000
29 December 2007	(476,936)
Loss for the period	(2,522)
27 December 2008	**(479,458)**

9. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's immediate parent company and ultimate parent company and controlling party is Galiform Plc, incorporated in Great Britain and registered in England and Wales.

The largest and smallest Group in which the results of the Company are consolidated is that headed by Galiform Plc. The consolidated accounts of this Group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ.

The Company is exempt under FRS 8 'Related Parties' from the requirement to disclose related party transactions within the Group headed by Galiform Plc on the grounds that it is a wholly owned subsidiary.

10. CONTINGENT LIABILITIES

The Company is party to a group Value Added Tax (VAT) registration with other members of the Galiform group. It is jointly and severally liable for the VAT payable by those other group undertakings which, at 27 December 2008, amounted to £10.7m (2007: £11.3m).

The Company, together with other Group companies, has guaranteed the Group's obligations under the Group bank facility.